



India's Quarterly External Debt Report For Quarter Ending September 2022

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Ministry of Finance
Department of Economic Affairs
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India's External Debt as at end of September 2022

The stock of external debt as at end-September 2022 along with the revised data for earlier quarters is set out in **Statement I (IMF format¹)** and **Statement II (old format)**. The major developments relating to India's external debt as at end-September 2022 are presented below:

Highlights

1. At end-September 2022, India's external debt was placed at US\$ 610.5 billion, recording a decrease of US\$ 2.3 billion over its level at end-June 2022 (**Table 1**).
2. The external debt to GDP ratio stood at 19.2 per cent as at end- September 2022 as compared to 19.3 per cent at end-June 2022 (**Table 1**).
3. Valuation gains due to the appreciation of the US dollar vis-à-vis major currencies such as Euro, Yen and Indian Rupee was placed at US\$ 10.6 billion. Excluding the valuation effect, the increase in external debt would have been US\$ 8.3 billion instead of a decrease of US\$ 2.3 billion at end-September 2022 over end- June 2022.
4. At end-September 2022, long-term debt (with original maturity of above one year) was placed at US\$ 478.7 billion, recording a fall of US\$ 8.0 billion over its level at end-June 2022 (**Table 1**).
5. The share of short-term debt (with original maturity of up to one year) in total external debt increased to 21.6 per cent at end- September 2022 from 20.6 per cent at end-June 2022; the ratio of short-term debt (original maturity) to foreign exchange reserves increased to 24.7 per cent at end-September 2022 (21.4 per cent at end-June 2022) (**Table 5**).
6. Short-term debt on residual maturity basis (*i.e.*, debt obligations that include long-term debt by original maturity falling due over the next twelve months and short-term debt by original maturity) constituted 45.0 per cent of total external debt as at end-September 2022 (45.4 per cent at end-June 2022) and stood at 51.6 per cent of foreign exchange reserves (47.6 per cent at end-June 2022) (**Table 2**).
7. US dollar denominated debt remained the largest component of India's external debt, with a share of 55.5 per cent at end-September 2022, followed by the Indian rupee (30.2 per cent), SDR² (6.1 per cent), Yen (4.9 per cent), and the Euro (2.6 per cent).

¹ The concepts set out in the IMF's 2013 *External Debt Statistics (EDS) Guide* are harmonized with those of the *System of National Accounts (SNA) 2008* and the sixth edition of the IMF's *Balance of Payments and International Investment Position Manual (BPM6)* published in 2009.

² SDR: Special Drawing Rights

8. The outstanding external debt of general government declined, while that of non-government sector marginally increased as at end-September 2022 over the previous quarter **(Table 3)**.
9. The share of outstanding debt of non-financial corporations in total external debt was 41.8 per cent, followed by deposit-taking corporations (except the central bank) (24.9 per cent), general government (20.4 per cent) and other financial corporations (8.3 per cent) **(Table 3)**.
10. Loans were the largest component of external debt, with a share of 30.9 per cent, followed by currency and deposits (22.2 per cent), trade credit and advances (21.0 per cent) and debt securities (17.8 per cent) **(Table 4)**.
11. Debt service (principal repayments plus interest payments) was at 5.0 per cent of current receipts as at end-September 2022 against 4.9 per cent as at end-June 2022 **(Table 5)**.

Table 1: External Debt - Outstanding and Variation

(US\$ Billion unless indicated otherwise)

Sector/Instrument	Sept 2021	June 2022 PR	Sept 2022 P	Absolute Variation		Percentage Variation	
				Sept 2022 over Sept 2021	Sept 2022 over June 2022	Sept 2022 over Sept 2021	Sep 2022 over Jun 2022
1	2	3	4	5	6	7	8
I. General Government	132.0	127.7	124.5	-7.5	-3.2	-5.7	-2.5
II. Central Bank	0.1	0.1	0.1	0.0	0.0	-18.0	-0.5
III. Deposit-taking Corporations, except the Central Bank	160.1	155.3	152.2	-8.0	-3.1	-5.0	-2.0
IV. Other Sectors	284.7	301.9	305.6	20.9	3.7	7.3	1.2
IV.1. Other financial corporations	52.0	51.6	50.5	-1.5	-1.1	-2.8	-2.1
IV.2. Non-financial corporations	232.7	250.3	255.1	22.3	4.8	9.6	1.9
IV.3. Households and non-profit institutions serving households (NPISHs)	0.0	0.0	0.0	0.0	0.0	-18.5	-6.3
V. Direct Investment: Intercompany Lending	26.0	27.7	28.1	2.2	0.4	8.4	1.6
Gross External Debt (I to V) <i>(As a percentage of GDP)</i>	602.9 <i>(20.3)</i>	612.7 <i>(19.3)</i>	610.5 <i>(19.2)</i>	7.6	-2.3	1.3	-0.4
<i>Memo Items:</i>							
A. Total Long-term Debt [@]	498.1	486.7	478.7	-19.4	-8.0	-3.9	-1.6
B. Short-term Debt [#]	104.8	126.1	131.7	27.0	5.7	25.8	4.5

PR: Partially Revised P: Provisional

@ Debt with original maturity of above one year

Debt with original maturity up to one year

Note: Figures may not add up to total due to rounding off

Table 2: Residual Maturity of Outstanding External Debt as at end-September 2022

(US\$ Billion)

Sector	Short-term up to one year	1 to 2 years	2 to 3 years	More than 3 years	Total (2 to 5)
1	2	3	4	5	6
I. General Government	6.9	8.1	9.0	100.5	124.5
I.A. Short-term	0.9	0.0	0.0	0.0	0.9
I.B. Long-term	6.0	8.1	9.0	100.5	123.6
II. Central Bank	0.1	0.0	0.0	0.0	0.1
II.A. Short-term	0.1	0.0	0.0	0.0	0.1
II.B. Long-term	0.0	0.0	0.0	0.0	0.0
III. Deposit-Taking Corporations, except the Central Bank	96.9	19.7	9.8	25.8	152.2
III.A. Short-term	1.8	0.0	0.0	0.0	1.8
III.B. Long-term	95.0	19.7	9.8	25.8	150.3
IV. Other Sectors	165.8	28.7	27.3	83.8	305.6
IV.A. Short-term	128.9	0.0	0.0	0.0	128.9
IV.B. Long-term	36.8	28.7	27.3	83.8	176.6
IV.1. Other financial corporations	12.9	8.3	5.9	23.4	50.5
IV.1.A. Short-term	1.4	0.0	0.0	0.0	1.4
IV.1.B. Long-term	11.5	8.3	5.9	23.4	49.1
IV.2. Non-financial corporations	152.9	20.3	21.5	60.4	255.1
IV.2.A. Short-term	127.5	0.0	0.0	0.0	127.5
IV.2.B. Long-term	25.3	20.3	21.5	60.4	127.5
IV.3. Households and non-profit institutions serving households (NPISHs)	0.0	0.0	0.0	90.0	0.0
IV.3.A. Short-term	0.0	0.0	0.0	0.0	0.0
IV.3.B. Long-term	0.0	0.0	0.0	0.0	0.0
V. Direct Investment: Intercompany Lending	5.1	4.2	4.3	14.6	28.1
A. Total Short-term Debt	131.7	0.0	0.0	0.0	131.7
B. Total Long-term Debt	143.0	60.7	50.4	224.7	478.7
C. Gross External Debt (A+B)	274.7	60.7	50.4	224.7	610.5
<i>Memo Items:</i>					
Short-term Debt (residual maturity) as per cent of Total External Debt					45.0
Short-term Debt (residual maturity) as per cent of Foreign Exchange Reserves					51.6

Note: Figures may not add up to total due to rounding off

Table 3: Government and Non-Government External Debt

(US\$ Billion)

Sector/Instrument	Sept 2021	Jun 2022 PR	Sep 2022 P
1	2	3	4
A. General Government (I+II)	132.0	127.7	124.5
<i>(As a percentage of GDP)</i>	<i>(4.4)</i>	<i>(4.0)</i>	<i>(3.9)</i>
I. External Assistance under Govt. A/C	85.7	86.2	84.3
II. Other Govt. External Debt	46.3	41.5	40.1
B. Non-Govt. Debt	470.9	485.0	486.0
<i>(As a percentage of GDP)</i>	<i>(15.9)</i>	<i>(15.3)</i>	<i>(15.3)</i>
B. I. Central Bank	0.1	0.1	0.1
B. II. Deposit-taking Corporations, except the Central Bank	160.1	155.3	152.2
B. III. Other financial corporations	52.0	51.6	50.5
B. IV. Non-financial corporations	232.7	250.3	255.1
B. V. Households and non-profit institutions serving households (NPISHs)	0.0	0.0	0.0
B. VI. Direct Investment: Intercompany Lending	26.0	27.7	28.1
Gross External Debt (A + B)	602.9	612.7	610.5

PR: Partially Revised P: Provisional

@: Other government external debt includes defence debt, investment in Treasury Bills/government securities by FPIs, foreign central banks and international institutions and IMF

Note: Figures may not add up to total due to rounding off**Table 4: Outstanding External Debt by Instruments**

(US\$ Billion)

Instruments	End-Sept 2021	End-June 2022 PR	End-Sept 2022 P
1	2	3	4
Special Drawing Rights (allocations)	23.3	22.0	21.2
Currency and deposits	142.9	137.4	135.6
Debt securities	114.2	110.9	108.7
Loans	192.1	191.6	188.5
Trade credits and advances	104.4	123.2	128.3
Direct investment: Intercompany lending	26.0	27.7	28.1
Gross External Debt	602.9	612.7	610.5

PR: Partially Revised P: Provisional

Note: Figures may not add up to total due to rounding off

Table 5: India's Key External Debt Indicators

(Per cent, unless indicated otherwise)

End-March	External Debt (US\$ billion)	Ratio of External Debt to GDP	Debt Service Ratio	Ratio of Foreign Exchange Reserves to Total Debt	Ratio of Concessional Debt to Total Debt	Ratio of Short-Term Debt to Foreign Exchange Reserves	Ratio of Short-Term Debt (original maturity) to Total Debt
1	2	3	4	5	6	7	8
1991	83.8	28.3	35.3	7.0	45.9	146.5	10.2
1996	93.7	26.6	26.2	23.1	44.7	23.2	5.4
2001	101.3	22.1	16.6	41.7	35.4	8.6	3.6
2006	139.1	17.1	10.1#	109	28.4	12.9	14.0
2007	172.4	17.7	4.7	115.6	23.0	14.1	16.3
2008	224.4	18.3	4.8	138	19.7	14.8	20.4
2009	224.5	20.7	4.4	112.2	18.7	17.2	19.3
2010	260.9	18.5	5.8	106.9	16.8	18.8	20.1
2011	317.9	18.6	4.4	95.9	14.9	21.3	20.4
2012	360.8	21.1	6.0	81.6	13.3	26.6	21.7
2013	409.4	22.4	5.9	71.3	11.1	33.1	23.6
2014	446.2	23.9	5.9	68.2	10.4	30.1	20.5
2015	474.7	23.8	7.6	72.0	8.8	25.0	18.0
2016	484.8	23.4	8.8	74.3	9.0	23.2	17.2
2017	471.0	19.8	8.3	78.5	9.4	23.8	18.7
2018	529.3	20.1	7.5	80.2	9.1	24.1	19.3
2019	543.1	19.9	6.4	76.0	8.7	26.3	20.0
2020	558.4	20.9	6.5	85.6	8.8	22.4	19.1
2021	573.6	21.2	8.2	100.6	9.0	17.5	17.6
2022PR	619.0	19.9	5.2	98.0	8.3	20.0	19.7
End-June 2022 PR	612.7	19.3	4.9	96.5	8.0	21.4	20.6
End-Sept 2022 P	610.5	19.2	5.0	87.3	7.7	24.7	21.6

PR: Partially Revised. P: Provisional.

Works out to 6.3 per cent with the exclusion of India Millennium Deposits (IMDs) repayments of US\$ 7.1billion and pre-payment of external debt of US\$ 23.5 million.